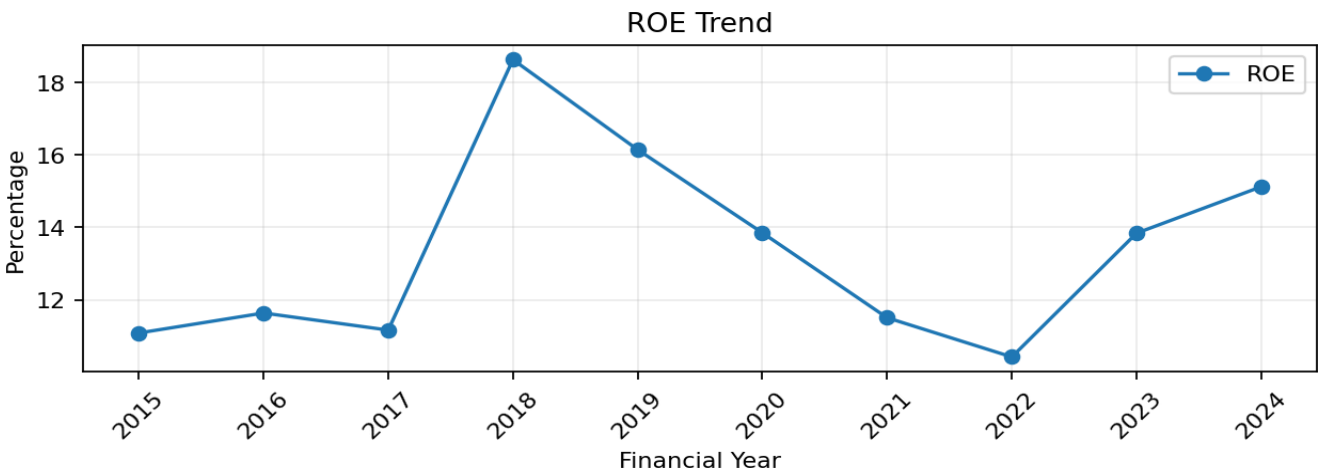
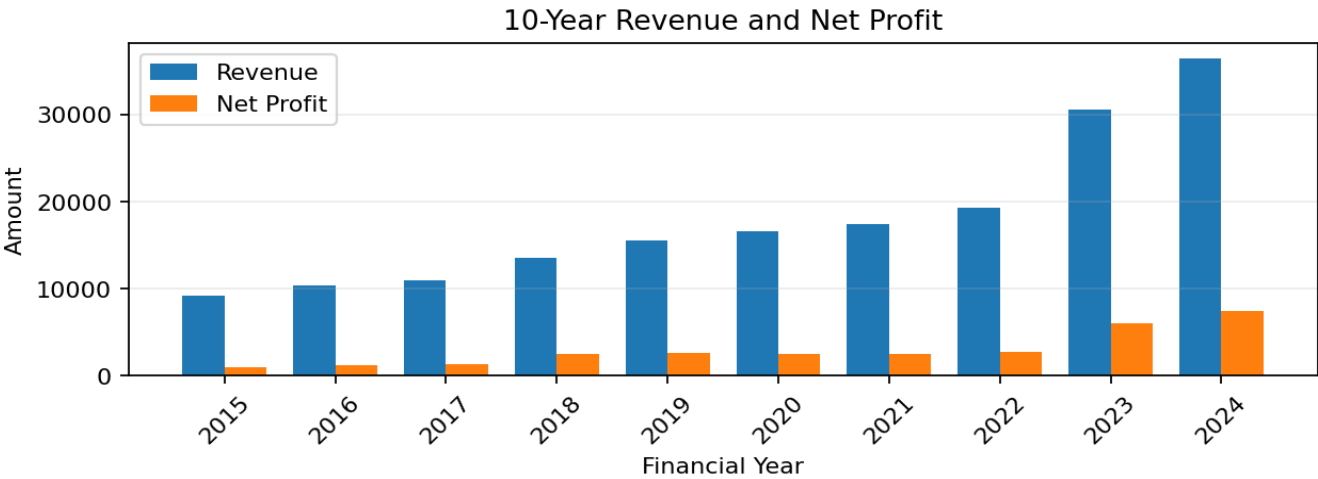
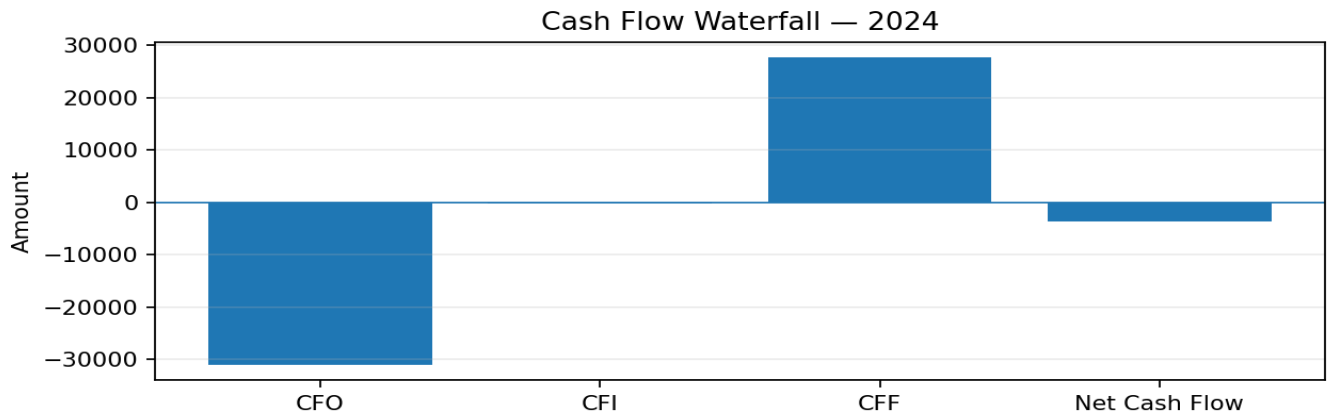
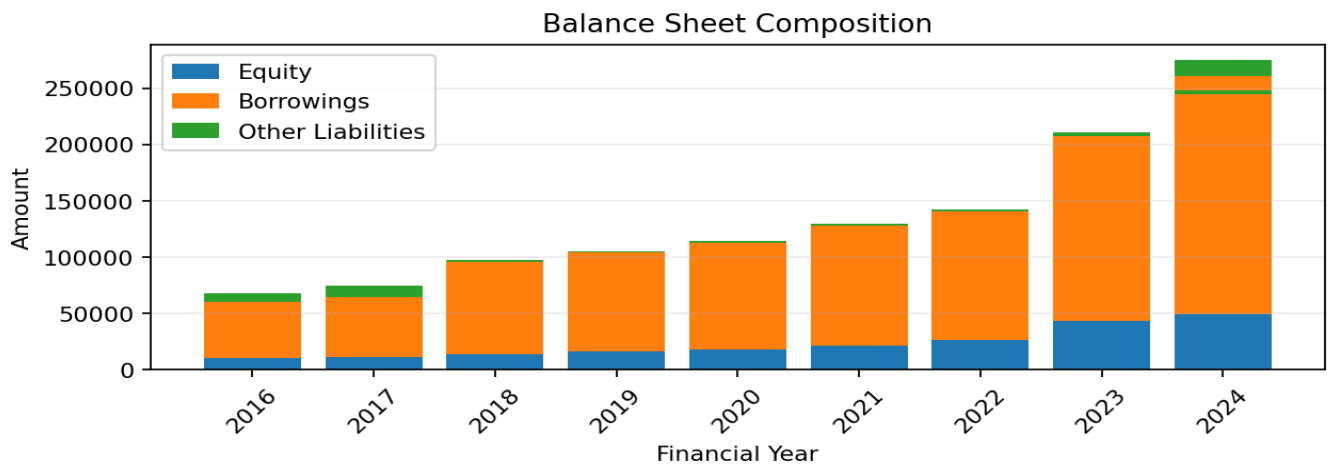


Shriram Finance Ltd (SHRIRAMFIN)

Revenue CAGR 19.2%	PAT CAGR 30.4%	ROE 15.1%
ROCE 11.3%	Debt/Equity 3.99	FCF Conversion -281.7%





Capital Allocation: Distress Signal

Pros

- Profits growing faster than revenue demonstrate improving operating leverage and scale benefits.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Return on equity improving for 3 consecutive years shows strengthening business quality.

Cons

- Net debt of approximately 16.23 times EBITDA represents high leverage and limits financial flexibility.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
- Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.